

BUSINESS INTELLIGENCE REPORT

Brazilian E-Commerce Performance Analysis

Deep-dive into the Olist Marketplace ecosystem (2016 - 2018)

PREPARED BY

Olusegun Japhet

EXECUTIVE OVERVIEW

This report analyzes the performance of Olist, the largest department store in Brazilian marketplaces from 2016 to 2018. Olist connects small businesses across Brazil to multi-channel sales opportunities.

INSIGHT

This shows that the Olist platform has been doing very well and scaling has not impacted performance so much rather there has been significant progress in handling orders and deliveries hence the increase in revenue generated from 2016 to 2018.

TOTAL REVENUE

R\$ 16.0M

2016

59K 0.00%

2017

7.2M 12,103.4% ▲

2018

8.6M 19.4% ▲

TOTAL ORDERS

99.4k

2016

329 0.00%

2017

45K 13,577.8% ▲

2018

54K 20.0% ▲

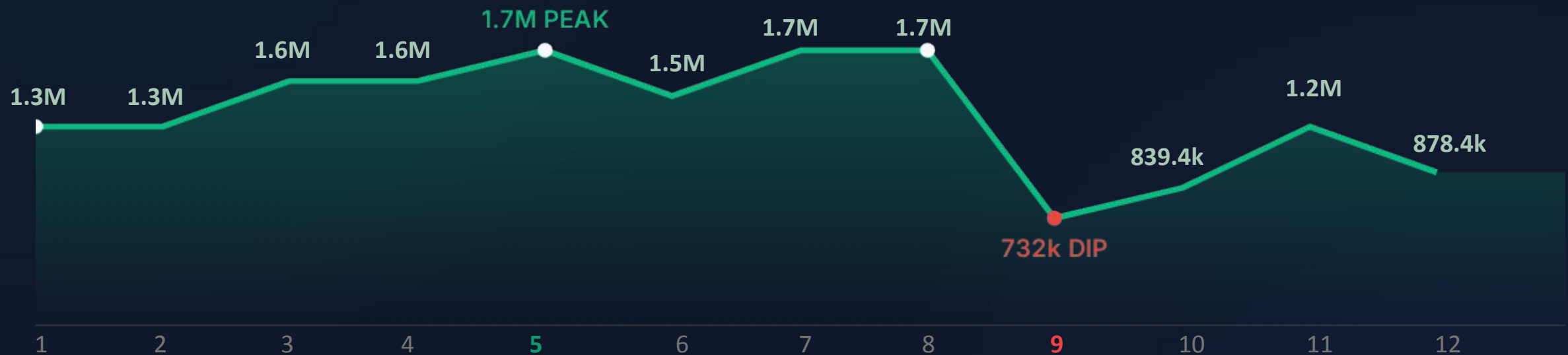
EXECUTIVE SUMMARY

Recommendations

- Expand marketing and seller acquisition efforts into underperforming regions to reduce over dependence on São Paulo.
- Prioritize inventory and promotions for high-performing home and lifestyle categories because they are the products most demanded for
- Providing encouragement to smaller sellers in other regions to improve seller growth and reduce operational and concentration risk.
- Work on partnerships and warehouse distribution for heavy product categories to improve delivery time and reduce number of failed deliveries
- Target emerging regions with localized campaigns to grow the customer base outside the southeast
- Olist should invest in logistics optimization incentives during peak sales periods so as to reduce delivery time

The analysis shows that Olist experienced strong growth across 2016 to 2018 mainly by southeastern Brazil, particularly São Paulo. Product demand is strongest in home and lifestyle categories, while customer satisfaction is heavily influenced by delivery performance rather than shipping cost. Operational improvements in logistics showed appear to have reduced delivery delays over time, but regional concentration of both customers and sellers still presents long-term business risk.

HOW DO WE PERFORM ON A MONTHLY BASIS?



INSIGHT

Our best month was May, when sales hit a high point of R\$ 1.7M. There was a temporary dip to R\$ 732.5k, but they were able to bounce back quickly, with sales climbing back up to R\$ 1.2M by November.

WHICH STATES DRIVE THE MOST REVENUE?



MARKET INSIGHT

Most of the company's revenue comes from São Paulo and nearby southeastern states. This suggests the platform's strongest customer base and seller activity are concentrated in a few major economic regions.

WHICH PRODUCTS DRIVES THE MOST REVENUE?



CATEGORY STRATEGY

Home-related products such as bed, bath, and furniture categories generate the highest sales activity, showing strong customer demand for household items.

TOP SELLERS PERFORMANCE

Seller ID	City	Qty Sold	Avg Rating	Revenue
4a3ca9...	Ibitinga	2,155	3.8	R\$ 306,138
1f50f9...	São José do Rio Preto	2,017	3.9	R\$ 291,918
da8622...	Piracicaba	1,662	4.0	R\$ 276,578
656021...	São Paulo	2,130	4.1	R\$ 180,028
cc419e...	Santo André	1,893	4.1	R\$ 144,535

ANALYST OBSERVATION

A relatively small group of sellers contributes a large share of total sales, especially sellers located in São Paulo state.

AOV & YOY GROWTH

R\$ 160.99

Platform-Wide Average Order Value

INSIGHT

Customer spending per order remained relatively stable over time, suggesting consistent purchasing behavior across the platform.

YoY Growth (2016)

R\$ 180.98 (+0.00%)

YoY Growth (2017)

R\$ 160.74 (-11.30%)

YoY Growth (2017)

R\$ 161.07 (+0.20%)

SECTION 02

Customer and Market Behaviour

Customers, satisfaction, geography, and payments

Who are the customers and how do they behave?

WHERE ARE THE CUSTOMERS?

Regional Concentration

São Paulo (SP): 41,746

(42.1%)

Rio de Janeiro (RJ): 12,852 (12.9%)

Minas Gerais (MG): 11,635 (11.7%)

Rio Grande do Sul (RS): 5,466

Paraná (PR): 5,045

INSIGHT

Most customers are concentrated in a few southeastern states, showing that demand is strongest in Brazil's major urban markets.



WHAT DO CUSTOMERS THINK OF OLIST?

TOP PERFORMER (RATING)

4.6 ★★★★★

CDS/DVDS musicals

BOTTOM PERFORMER (RATING)

2.5 ★★☆☆☆

Security and Services

Does Freight Cost affect Review score?



INSIGHT

Customers appear to care more about delivery speed than shipping cost. Delayed deliveries tend to result in lower review scores even when freight costs are reasonable.

WHAT DO THE CUSTOMERS THINK OF OLIST SERVICES?



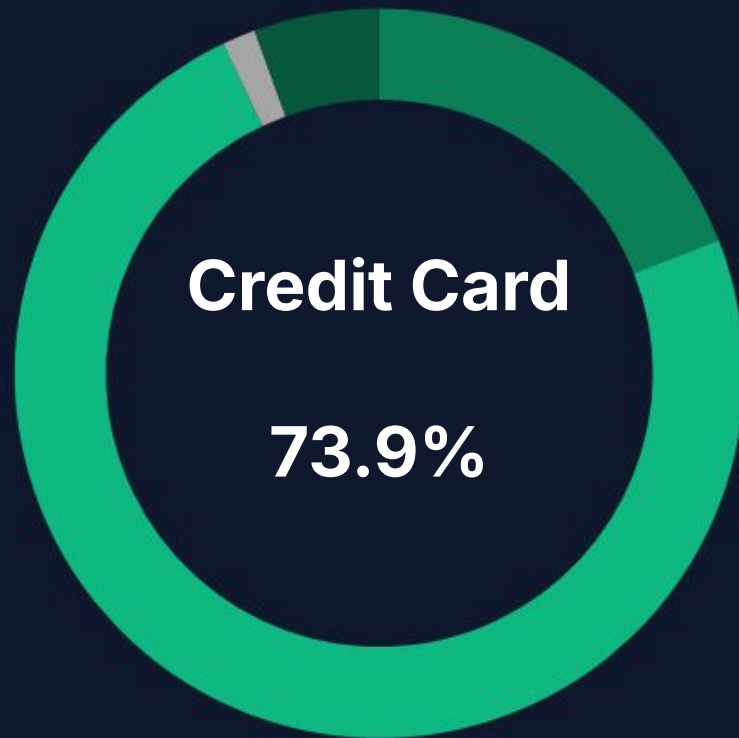
Score Distribution

- **5 Stars:** 57% of Reviews
- **4 Stars:** 19% of Reviews
- **1 Star:** 11% of Reviews

INSIGHT

Most customers are satisfied with their purchases, but negative reviews are strongly linked to delivery problems rather than product quality as seen earlier and will be better explained below

WHICH PAYMENT METHOD IS MOSTLY USED?



Boleto: 19,784 (42.1%)

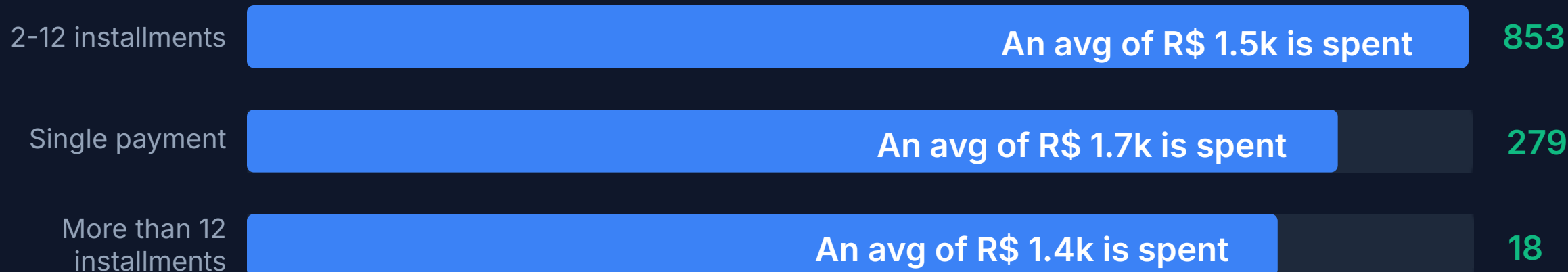
voucher: 5,775 (5.56%)

Debit Card: 1,529 (1.47%)

INSIGHT

Credit cards are the preferred payment method for most customers, showing strong adoption of digital payment behavior.

HOW DO CUSTOMERS APPROACH THE INSTALLMENT PLAN?



INSIGHT

Most customers prefer installment payments, although customers who pay upfront tend to spend slightly more per order.

SECTION 02

Logistics & Operational Performance

Delivery efficiency, freight, operational risk

How efficient is the platform operationally?

DOES PRODUCT WEIGHT IMPACT DELIVERY FREE?



INSIGHT

Large and heavy product categories create higher shipping costs, which increases operational pressure on the business.

WHICH STATES RESPONDS THE MOST TO DELIVERIES?



3,095

Total Sellers in Brazil

Seller Concentration

State	Active Sellers	% Share
São Paulo	1849	59.7%
Paraná	349	11.3%
Minas Gerais	244	7.9%
Santa Catarina	190	6.1%
Rio de Janeiro	171	5.5%

INSIGHT

A large percentage of sellers operate from São Paulo, creating heavy dependence on one region for marketplace operations.

HOW DOES DELAY IMPACT REVIEW SCORE?

AVG DELIVERY TIME

12.5 Days

PLATFORM FAILURE RATE

7.8%

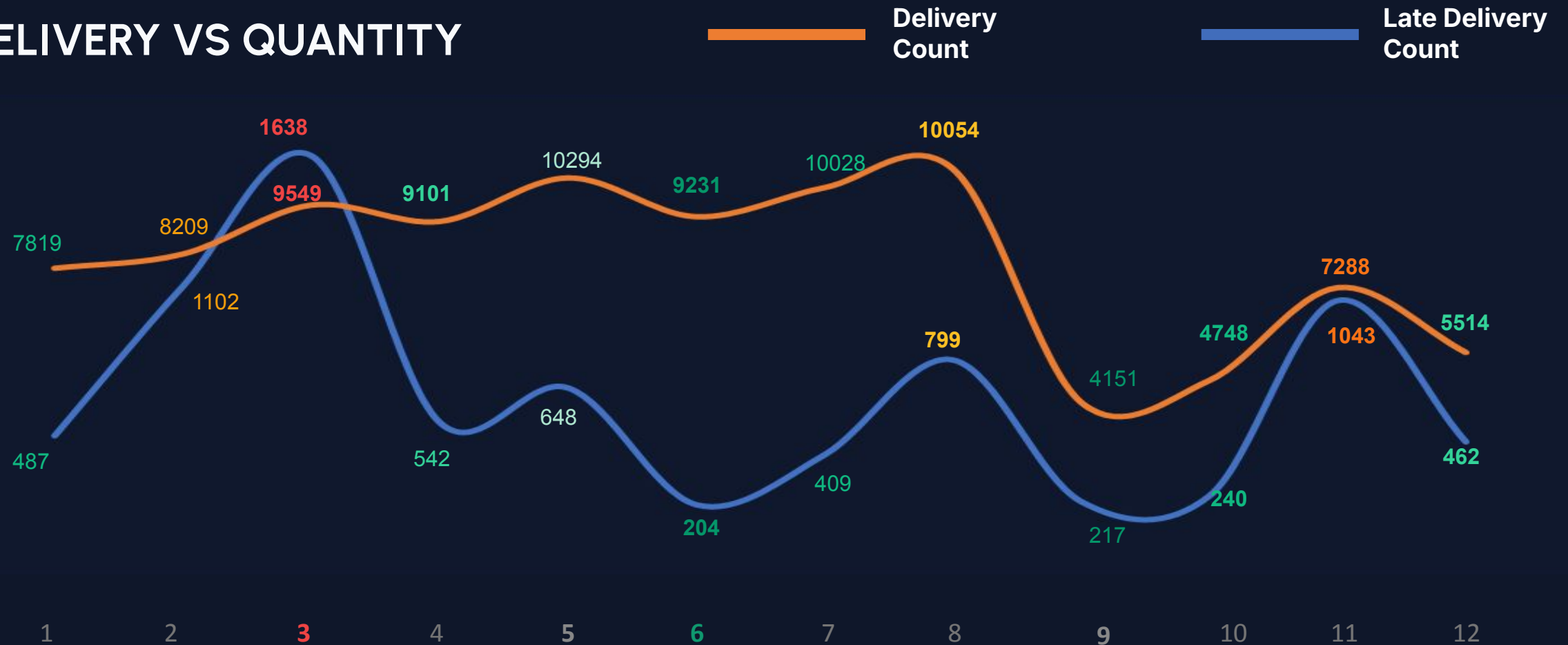
Orders delivered after estimated date



INSIGHT

Customer satisfaction decreases as delivery delays increase, showing that shipping performance plays a major role in the overall customer experience.

DELIVERY VS QUANTITY



INSIGHT

Despite handling high order volumes, delivery delays became more controlled over time, suggesting operational improvements across the platform.